



REUBEN SINGH

◀ **PRANAV TRIPATHI, CEO, THE IDEAS COMPANY**
Recycles 4,000 computers a month.
Making Rs 500-700 per piece, he
expects revenues of Rs 3-4 crore.

rial for medicines, aquatic and poultry feed, pet food and fertilisers. The Rs 7-crore company processes 160 tonne of waste annually, all of which is exported. India holds immense potential where 2.2 million tonne of poultry meat is consumed every year. Style Solutions expects to have 80 per cent of its business emanating from India by 2010.

Waste management has traditionally been a high-volume, low-margin business. Not anymore. With metals in short supply trading at a premium, 'urban mining', which involves scavenging through old electronic products for iridium and gold, has become a profitable global industry. While precious metals are melted down and sold as ingots, other recovered materials are reused in new electronics parts. A tonne of ore from a gold mine yields an average of 0.17 ounces or five g of gold, whereas over 150g can be recovered from a tonne of discarded mobile phones, says a study.

The ability to turn refuse into a resource presents a key opportunity for growth for a simple reason: even in a slump people will be throwing their trash away. A Goldman Sachs report published in November 2007 described alternative waste treatment in Britain as "an area with extensive growth opportunities" that could "improve investment fundamentals". To be sure, in the last couple of years there have been 16 major mergers and acquisitions of waste management companies in Europe, with private equity firms involved in half of the deals.

Waste management is supplemented by innovative and integrated collection. Take, for instance, M.M. Gupta, chairman of the Chennai-based Gupta Group, who has been processing discarded human hair—a \$1 billion market—and exporting it since 1974. Gupta, who supplies to Korea, Italy and China, has a turnover of Rs 225 crore. Contrary to popular belief, only 20 per cent of the hair is collected from temples and shrines. The rest comes from housewives who keep hair that fall off from everyday brushing and sell it to door-to-door scavengers. 3,000 of

puter. A PCB brings in Rs 100, a floppy/CD drive Rs 100, a power supply unit Rs 60, and plastic and metal Rs 150-200.

"Electronics are the fastest-growing solid waste stream in the world," says Vinnie Mehta, executive director, MAIT. This corroborates the findings of the Swiss Federal Institute of Aquatic Science and Technology, which suggests that higher income, economic growth and changing lifestyles lead to a change in the composition of waste. Poor households generate more organic waste while the wealthy ones have a higher percentage of metals, plastics and glass.

In 2004, Sanjeev Ohri, a former food-and-beverages executive with ITC Hotels, set up Style Solutions at Manesar in Haryana, which processes slaughterhouse waste into raw mate-

◀ **T. RAGHAVENDRA RAO, DIRECTOR, STEPS**
Using plastic and organic waste to
make liquid fuel, he expects a revenue
of over Rs 20 crore this year.



MANJAR DEODHAR